

Sunk costs



In any economic situation, many costs can be considered 'sunk': once they have been incurred, they cannot be recovered. Suppose Dave buys a ticket to a play. On arriving at the theatre he realizes that the performance is *Macbeth* – not one of his favourite plays. It is too late to get a refund, but as he's spent £20 on the ticket, he decides to watch the play anyway. However, Dave's £20 is a sunk cost: he'll have incurred it whether or not he watches the play, so he should really write it off and decide what he'd prefer to do now – even if that is going home to watch television.

Similarly, sunk costs shouldn't affect how much a firm supplies today. A swimming pool owner has incurred sunk costs – the cost of land, the construction of the pool and so on. On cold days there may be only a handful of swimmers, but it might still be worthwhile to keep the pool open because the major costs are

sunk and the owner might still make some money from the small number of customers.